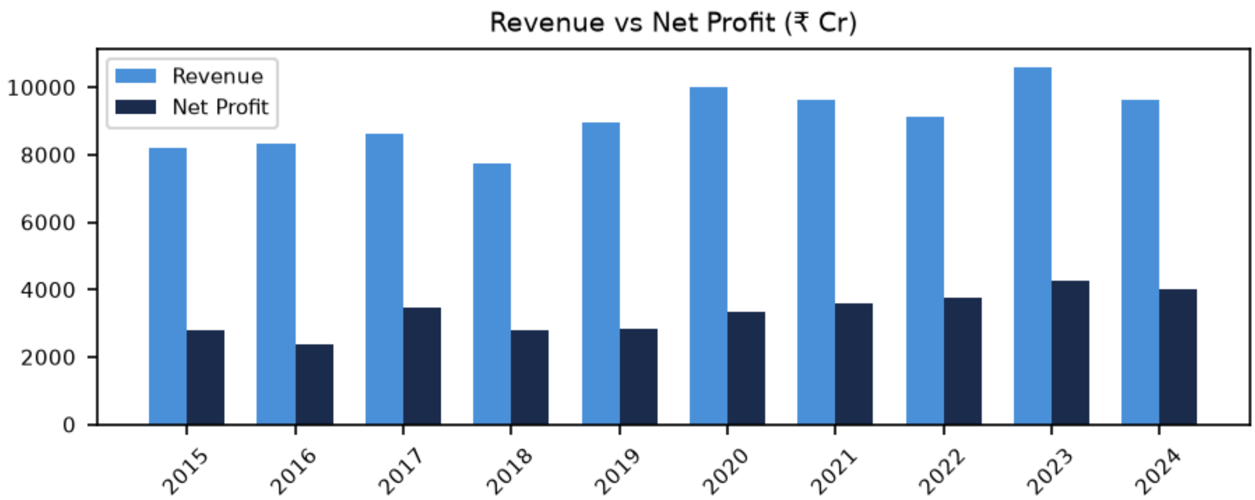
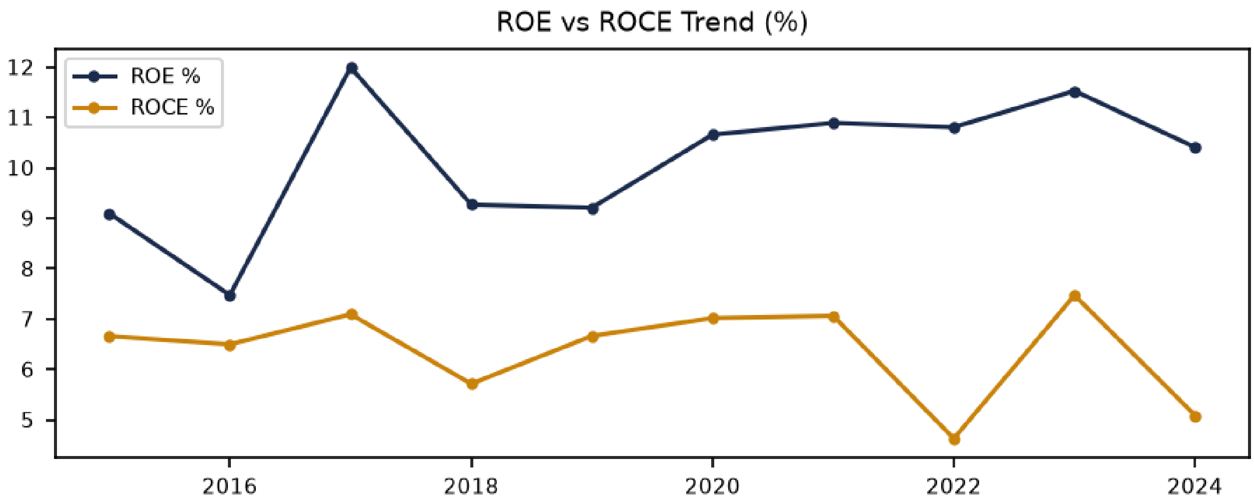
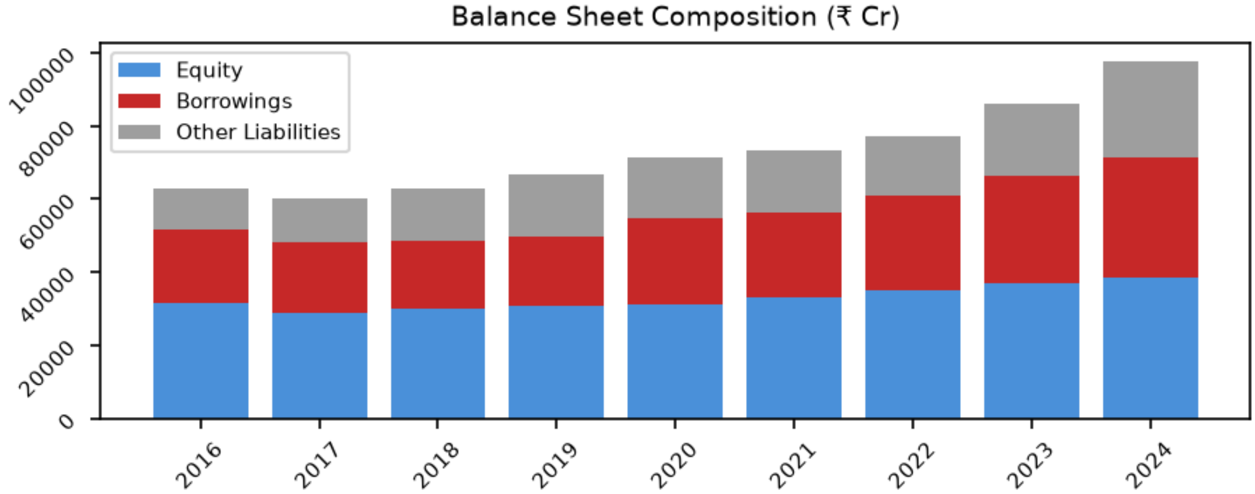
NHPC Ltd

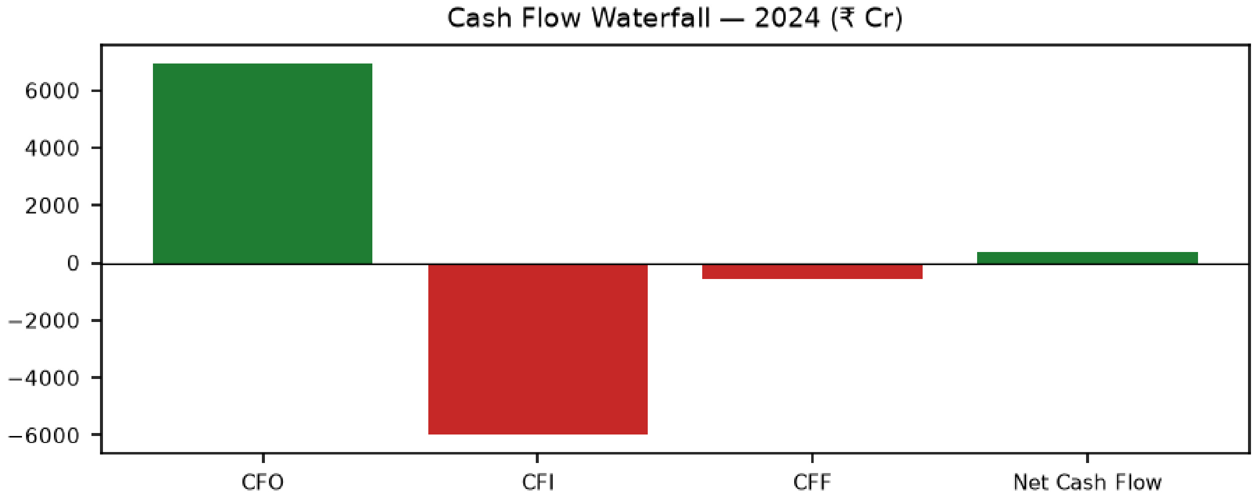
NHPC · Energy

ROE	ROCE	Net Profit Margin
10.4%	5.1%	41.8%
Debt-to-Equity	Revenue CAGR (5yr)	Free Cash Flow
0.84	1.4%	■970 Cr









Pros	***Cons***
✓ Strong free cash flow generation over 5 years signals healthy business fundamentals	✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits	✗ Gross debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
✓ Operating profit margin above 25% indicates strong pricing power and cost discipline	✗ Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing	✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Reinvestor